Some relaxations in the restrictive policy regime from 1973 onwards led to a pickup in industrial growth in the next five years (1975–1980). The process of dismantling mindless constraints on industrial capacity creation commenced with the Industrial Policy Resolution of 1980, which gathered further pace in the 1980s. Private-sector industry started delivering higher growth of over 7 per cent.

On the whole, the period of Industry Policy 1.0 (1947–1991) was one of low industrial and overall economic growth. It was a suboptimal performance by any standards.

1991 Marks a Watershed: Industrial Policy 2.0

The industrial and licencing policies pursued for more than forty years (1947–1990) conclusively failed in industrializing India. The policies, however, succeeded in stymieing and stunting the private sector in the country, which was the objective of the industrial policies after Independence.

The balance of payments crisis of 1990–1991 forced the hand of the government and made reforms in trade, foreign exchange and industrial policy unavoidable. These reforms were inevitable to save India from the ignominy of defaulting on its international payment obligations and living a hard life on account of its inability to import even crude oil to meet minimum energy needs. The crisis and trade and exchange reforms provided a good opportunity to undertake reforms of industrial policies as well.

Industrial Policy Reforms in 1991 Were Initiated Apologetically

The first nineteen paragraphs of the Statement on Industrial Policy presented by the government in the Parliament on 24 July 1991 paid lip